

POLICYREADY • VIRGINIA

How to Open a **Group Home Business** in Virginia

Sponsored residential & group homes under the DD Waivers

Step by Step

*From “where do I start?” to your first payment —
whether you start with a sponsored home, or your own agency.*

A complete, plain-language guide for real people — not lawyers or consultants.
Figures current for 2026 • Verify all details with the Commonwealth of Virginia.

Read this first

This is a plain-language roadmap built from Virginia's actual rules, agencies, and DD waiver standards. It is not legal, tax, or billing advice, and details change. One honest heads-up: Virginia's DD waiver waiting list is large — more than 14,000 people — so demand for good providers is real, and the state has been funding new slots each year. Two agencies run the show together: DBHDS licenses providers, and DMAS (Medicaid) enrolls and pays them. Before you act, confirm the current specifics with DBHDS, DMAS, your local CSB, your fire marshal, an attorney, an accountant, and an insurance broker. Every rule and citation here is real, but always check the current version.

What this guide covers

- Part 0 — The big picture: the DD waivers, sponsored residential vs. group homes, and the two ways in.
- Part 1 — Path A: a sponsored residential home (the small, live-with start under a sponsoring agency).
- Part 2 — Path B: becoming your own DBHDS-licensed agency (group home residential).
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house needs (HCBS settings, licensing, and fire safety).
- Part 5 — Getting your first person placed.
- Part 6 — How you get paid: the waiver, the tiers, and your first payment.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say “check locally”: who to call and exactly what to ask (Northern Virginia & Virginia Beach worked out).

PART 0

The Big Picture

Opening a group home in Virginia is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places. Here it is in one place.

Sponsored residential vs. group home — what you're actually opening

In Virginia, residential support under the DD waivers comes in two main forms. Sponsored Residential is the host-home model: an individual with a developmental disability lives in the home of a “sponsored residential provider” and shares family life — the sponsored provider is recruited, trained, certified, and supported by a DBHDS-licensed sponsoring agency, which holds the license and handles the billing. Group Home Residential is the group-home model: individuals live in a home your agency operates and staffs, and you hold the DBHDS license yourself. (Supported Living Residential, in apartments, is a more independent third option.)

The players — learn these names, you'll deal with all of them

- DBHDS — the Department of Behavioral Health and Developmental Services. It licenses providers (Office of Licensing) and oversees DD services.
- DMAS — the Department of Medical Assistance Services (Medicaid). It enrolls providers and pays the claims.
- The DD waivers — Community Living (CL), Family & Individual Supports (FIS), and Building Independence (BI). Residential supports are funded mainly through the CL waiver.
- CSB / BHA — your local Community Services Board (or Behavioral Health Authority): the entry point for screening, eligibility, and support coordination.
- Support Coordinator / Case Manager — develops the person's plan (the ISP) and coordinates services.

The fork in the road — there are two ways in

- Path A — Become a sponsored residential provider. An individual lives in your home; you're certified and supported by a DBHDS-licensed sponsoring agency (which holds the license and does the billing). Fastest, simplest — you don't need your own DBHDS license.
- Path B — Become your own DBHDS-licensed agency. You get licensed by DBHDS, enroll with DMAS, and run group home residential (and/or sponsor residential homes). Much bigger lift — but it's the real business.

PART 1 • PATH A

A Sponsored Residential Home

Start here. It's the fastest way in — and you can grow into your own agency later.

Step 1 — Make sure it fits your life

Sponsored residential means an adult with a developmental disability lives in your home and shares your everyday life. Everyone in the household is part of the process, so this is a family decision — go in with eyes open about the good days and the hard ones.

Step 2 — Choose a DBHDS-licensed sponsoring agency

On this path you don't get licensed yourself — you partner with a DBHDS-licensed agency that sponsors residential homes. They recruit, train, and certify you, support you day to day, and handle the Medicaid billing. Interview more than one — how they support and pay sponsored providers varies a lot.

Step 3 — Get certified & trained

The sponsoring agency completes your certification (using DBHDS's Sponsored Residential Certification process) and your training, and makes sure your home meets the HCBS settings requirements. This is the heart of sponsored-residential approval.

Step 4 — Pass background checks

You and the adults in your home complete the required criminal background and registry checks. Your agency walks you through it.

Step 5 — Get matched

The agency, the person's Support Coordinator, and the team match you with someone whose needs and personality fit your home — the match is the heart of the model, and the person has freedom to choose.

Step 6 — Put your policies in writing

You'll keep clear documentation — medications, emergencies, incident reporting, and the rights of the person you support. PolicyReady's Virginia manuals are built for exactly this: ready to customize, just add your details.

Step 7 — Get supported, and get paid

The agency bills the DD waiver and pays you (sponsored residential is generally paid monthly). Because the person lives in your home, your payments may qualify for the IRS “difficulty-of-care” exclusion (potentially non-taxable) — confirm with a tax professional. That first payment is the moment it all clicks.

PART 2 • PATH B

Become Your Own DBHDS-Licensed Agency

More work, more money, more control. Here's the whole thing, in order.

Step 1 — Set up the business & connect with your CRC

- Form your entity (LLC or corporation) with the Virginia SCC and get your EIN and an NPI.
- Reach out to your regional Provider Team Community Resource Consultant (CRC) in the DBHDS Office of Provider Network Supports as early as possible — they guide new providers.
- Attend the Provider Readiness and Education Program (PREP) / licensing orientation.

Step 2 — Submit your Letter of Intent & Human Rights policies

- Submit a Letter of Intent (LOI) to DBHDS — the services you'll provide, the population, and your locations (a P.O. box won't satisfy the address requirement).
- Develop policies that comply with the Human Rights Regulations, and email your Complaint Resolution Policy and Human Rights Compliance Verification Checklist to the Office of Human Rights for approval.

Step 3 — Apply for your DBHDS license (12VAC35-105)

Submit your Initial Provider Application and all required attachments through the DBHDS CONNECT Provider Portal, and demonstrate knowledge of the required licensing policies, procedures, and forms. DBHDS is currently prioritizing initial applications for the services most needed across the Commonwealth.

Step 4 — Enroll with DMAS (Medicaid)

After you're licensed by DBHDS, enroll as a Virginia Medicaid provider through DMAS so you can be reimbursed for waiver services — you'll need your NPI and business information, and you'll use the Waiver Management System (WaMS) for authorizations and billing.

Step 5 — HCBS settings, staff & serve

Every group home, sponsored residential, supported living, and group day setting must fully comply with the federal HCBS settings requirements. Put your policies in place (PolicyReady manuals), hire and train your DSPs (and complete the DSP Competencies Checklist within 180 days), then accept referrals, deliver services, and bill (Parts 5 and 6). Ask your CRC about Jump Start grants for new or expanding providers.

PART 3

Who You Actually Need (Staffing)

Sponsored residential (Path A): you and your household are the support. The sponsoring agency provides the professional oversight, certification, and billing, and helps arrange relief/respite. You don't build a staff.

Group home agency (Path B), plan for these roles — one person can wear several hats at the start:

- Agency director / administrator — runs the agency, owns the DBHDS license and compliance.
- Direct support professionals (DSPs) — the caregivers in your homes; each must meet the DSP Competencies within 180 days of hire.
- DSP supervisor — oversees the DSPs and confirms competencies.
- Registered Nurse — to oversee certain medical supports and medication; often part-time or contracted at first.
- Billing / administrative support — handles DMAS billing through WaMS and documentation.

PART 4

The Home: What Your House Actually Needs

How Virginia handles homes

A sponsored residential home is a private family home, certified by your sponsoring agency and meeting the HCBS settings requirements. A group home is licensed by DBHDS under 12VAC35-105 and inspected, and must also meet the HCBS settings requirements in every setting. In both, the home must genuinely feel like the person's home — privacy, a lease or residency agreement, and full access to the community.

“Do I need fire sprinklers?” — the honest answer

A sponsored residential home (a private family home) is held to residential standards, so a full commercial fire-sprinkler system generally is not required. A group home's fire requirements come from the Virginia Statewide Fire Prevention Code and building code and depend on the home's size, occupancy, and the residents' abilities — so a larger or licensed group home may face requirements a family home doesn't. Because it's set by the fire code and your local fire marshal, confirm your specific home with the local fire marshal and building official before you buy or renovate.

THE HOME CHECKLIST

- Sponsored residential: certification by your sponsoring agency and HCBS-settings compliance. Group home: a DBHDS license (12VAC35-105) and inspection.
- HCBS settings rights: a lease or legally enforceable residency agreement, privacy, choice, and full community access — in every setting.
- Working smoke and carbon-monoxide detectors, extinguishers, clear exits, and a practiced emergency plan; fire-safety sign-off appropriate to the setting.
- A safe, clean, sanitary home — sound utilities and electrical, working plumbing, and safe food storage and preparation (a VDH health inspection may apply if you serve food).
- A real street address for the licensed location (a P.O. box won't meet the requirement).

Two more things people get wrong

- Sponsored vs. licensed changes everything. For sponsored residential you don't hold a DBHDS license — your sponsoring agency does. For a group home, you do. Pick your path before you spend money.
- Room and board is separate from your pay. The waiver pays for the service, not the person's rent and food — those come from their own income (usually SSI). Keep the two separate.

PART 5

Getting Your First Person Placed

You can't get paid until someone is placed with you and their waiver services are authorized. Here's how that happens.

1. The person qualifies — and waits. They're screened and assessed for a DD waiver through their local CSB. Because slots are limited, most people spend time on Virginia's waiting list (more than 14,000 statewide) before a slot opens.
2. They get a waiver slot. When a slot is available, a Waiver Slot Assignment Committee (WSAC) recommends who receives it (Priority 1 first).
3. The plan and level are set. A Support Coordinator develops the person's ISP; a Supports Intensity Scale (SIS) assessment helps set the support-need level and the reimbursement tier for residential services.
4. The match. The person chooses providers (freedom of choice); you (or your sponsoring agency) are matched based on fit, your certification/license, and your capacity.
5. Move-in. With the ISP and authorization in place, the person moves in and you're delivering a billable service.

PART 6

How You Get Paid: The Waiver, the Tiers & Your First Payment

How the rate works

Residential supports are paid through Virginia's Medicaid DD waiver. The rate is driven by the person's assessed support-need level — the Supports Intensity Scale (SIS) sorts people into levels that map to reimbursement tiers, so a person with higher needs carries a higher rate. Sponsored residential is generally paid monthly; group home residential is paid per the waiver's rate structure for the person's tier.

What drives your number

- Support-need level / tier: the SIS-based level is the biggest driver of the residential rate — higher needs, higher reimbursement.
- Sponsored vs. group home: the two services are priced differently; a staffed group home carries different costs and a different rate than a sponsored home.
- Where to look: exact procedure codes and current rates are in the DMAS DD Waiver fee schedule / rates (dmas.virginia.gov). Confirm the current figure before you budget.
- Room and board is separate: the waiver pays the service, not the person's rent and food (those come from their SSI/personal income).

How you bill — and your first payment

6. Confirm the service and tier are authorized in the person's ISP and in WaMS.
7. Deliver the service and keep your documentation (and keep DSP competencies current — billing must stop if they lapse).
8. Submit the claim through DMAS / WaMS (your sponsoring agency does this for a sponsored home).
9. Get paid — and keep your authorizations and license/certification current.

PART 7

What It Costs & How Long It Takes

Timeline

A sponsored residential home (Path A) can move relatively quickly once you've chosen a sponsoring agency — certification, training, and background checks. Becoming your own DBHDS-licensed agency (Path B) takes longer: the business setup, PREP/orientation, your Letter of Intent, Human Rights approval, the Initial Provider Application and license, and DMAS enrollment. Plan for several months end to end, and confirm current timelines with your CRC and DBHDS Licensing.

Startup line items

Sponsored residential costs are modest — mainly your time, background checks, training, and getting your home ready. A licensed agency adds business formation, insurance, staff payroll, the licensing process, and your policies and procedures — though the DBHDS Jump Start grant program can help new or expanding providers. Confirm current figures with DBHDS and DMAS.

PART 8

When They Say “check Locally”: Who to Call & What to Ask

In Virginia, DBHDS and your local CSB are the center of gravity, with DMAS and your fire marshal close behind. Here's who to call and exactly what to ask.

The statewide offices (same for everyone)

For...	Contact
Becoming a licensed provider	DBHDS Office of Licensing — CONNECT Provider Portal · P.O. Box 1797, Richmond, VA 23218
Provider help & getting started	Your regional Provider Team CRC — DBHDS Office of Provider Network Supports (PREP class)
Human Rights policy approval	DBHDS Office of Human Rights — OHRPolicy@dbhds.virginia.gov
Medicaid enrollment & rates	DMAS — dmas.virginia.gov (Provider Enrollment; DD Waiver fee schedule)
Waiver info & finding your CSB	My Life My Community — mylifemycommunityvirginia.org

The local calls — and what to ask on each one

① YOUR LOCAL CSB / A SPONSORING AGENCY — YOUR MOST IMPORTANT CALLS

- “I want to become a sponsored residential provider / open a group home. Who sponsors residential homes here, and what's the current need?”
- (To a sponsor) “How do you certify, train, and support sponsored providers, how do you match, and how and when do you pay?”

② YOUR DBHDS CRC — THE LICENSING PATH

- “I want to start a DD waiver group home. Can you walk me through PREP, the Letter of Intent, and the initial application in CONNECT?”

③ LOCAL FIRE MARSHAL / BUILDING OFFICIAL — THE HOME

- “I'm opening a sponsored residential home / a licensed group home for adults with disabilities at this address. What fire-safety requirements apply, and do I need sprinklers?”

Fully worked examples — two of Virginia's biggest markets

Most people start in or near one of these. Virginia has a CSB for every community — find yours by where you live.

NORTHERN VIRGINIA (FAIRFAX)

- Local CSB: Fairfax-Falls Church Community Services Board — your entry point for screening and support coordination (Fairfax County is Virginia's most populous area).
- State: DBHDS Office of Licensing (Northern region) and your regional CRC; DMAS for Medicaid enrollment.
- Home & fire: Fairfax County (or your city/town) fire marshal and building official; DBHDS Licensing for a group home.
- The local quirk here: Northern Virginia is the state's largest, highest-cost market — strong demand, but plan for higher real-estate and staffing costs.

VIRGINIA BEACH (HAMPTON ROADS)

- Local CSB: Virginia Beach Community Services Board — your entry point (Virginia Beach is the state's most populous city).

- State: DBHDS Office of Licensing (Eastern region) and your regional CRC; DMAS for enrollment.
- Home & fire: City of Virginia Beach fire marshal and building official; DBHDS Licensing for a group home.
- The local quirk here: the Hampton Roads region spans several cities — confirm which city's CSB and fire marshal cover your specific address.

How to find your own CSB & offices

10. Find your local CSB via mylifemycommunityvirginia.org (there's one for every community).
11. Start the provider process with your regional DBHDS CRC and the CONNECT Provider Portal.
12. For fire safety, call your city or county fire marshal; for a group home license, work with DBHDS Licensing.

CORE RULES & REFERENCES

- 12VAC35-105 — DBHDS Rules and Regulations for Licensing Providers; 12VAC30-122 — the DD waiver regulations.
- The three DD waivers — Community Living (CL), Family & Individual Supports (FIS), and Building Independence (BI).
- DBHDS Prospective Provider Toolkit and Sponsored Residential Certification process (Office of Licensing).
- DMAS DD Waiver fee schedule and provider enrollment; the Waiver Management System (WaMS).

You can do this.

Opening a group home in Virginia is real work — two agencies, a license, and a waiver system — but it's a real, walkable path, and people across the Commonwealth do it every day, giving someone a real home in the community. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start with a sponsored residential home or build your own licensed agency, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the Commonwealth as you go, and lean on your CSB and your DBHDS CRC — that's what they're there for.

Prepared for PolicyReady.org. Grounded in Virginia DBHDS and DMAS rules and the DD waiver standards as of 2026. This guide is general information, not legal, tax, or billing advice. Requirements, rates, and codes change — always verify current details with the Commonwealth of Virginia before you act.